How Do I Invest?

So, we're all warmed up and eager to start investing. But then, we should remember there are primarily two must-do's in investing:

1) Choose a suitable instrument by considering its *'risk and reward'* ratio
2) If the cuppa is ₹7, we have to invest ₹8, manage to get 10% post-tax return, and then drink it in peace, 20 years later. The **amount** to invest is often overlooked but highly important.

Now, onto the ways of investing to achieve such a return. There are 4 instruments for investing.

1) Buying a small piece of a company - equity/ stock in it
2) Receive fixed income by becoming a money lender to a company
3) Buy Real Estate
4) Gold

We will look at them, see how they operate and zone in on one option to best champion our 80/20 personality.

1) Buying a small piece of a company i.e. equity :

It can be done via acquiring stock in a publicly traded company (aka equity). This kind of ownership means that if we own 2% of a company we have 2% of profits or 2% of its losses depending on the company's performance. The profits to our personal portfolio depend on how well the company is doing.

The stock prices vary based on the earnings generated and on the demand from people wanting to buy parts of the company. Thus, the gains we make also depend on the demand and supply forces in the stock market.

Given that the value of the shares we purchased should increase with time and we sell at a greater price, the gain is our profit. This is referred to as a *capital gain* . Capital gains are taxed in the short-term and are tax-exempt if the period is greater than 1 year.